

INSURANCE PLAN

Insuring your life for an adequate amount is one of the best legacies you can leave for your financial dependents. If you pick the right policy at the right time, life insurance can be an excellent tool for wealth protection, accumulation and preservation.

tool." For instance, if you buy an endowment plan and die during the tenure, your dependents get the maturity proceeds; if you survive the term, you get a big corpus on maturity.

When thinking about your finan-

cial future, you are likely to focus solely on your investment strategy. That's what most of us do. You ask questions about how you will reach your financial goals for retirement, education for children, and other

long-term needs. Most of us tend not to think of life insurance in connection with any of these goals, as investments assume a specific life expectancy and that income will continue until retirement. But what happens if there is no income because of the death of a breadwinner? How will your children fund their college education? What will your non-earning spouse live on? What happens to the assets you've accumulated, especially if they are on loan?

Long-term goals: Essentially, what if there is no insurance? Life insurance can be an important addition to any financial plan, designed to

GROWING NEEDS

PROFILE

School-going children

NEED

Higher protection, asset creation with a balanced option; liquidity to meet education expenses

PLAN

Continue the asset-creation ULIP, and add top-ups if possible; withdraw specific sums from the account to meet education expenses

LEARNING EXPENSES

PROFILE

Children opting for higher education or getting married

NEED

Lump sum to meet college or marriage expenses; option to stop paying premium for two or three years to meet extra expenses

PLAN

Withdraw from the account for education; opt for a premium holiday without letting the policy lapse or reducing cover

GOLDEN YEARS

PROFILE

Children grown up; retired or approaching retirement

NEED

Safe accumulation, lower life insurance as number of dependents has decreased

PLAN

Reduce death benefit to least possible amount; choose income investment options use top-ups to increase accumulation

DIFFERENT STAGES OF LIFE

Illustration by RAJ